Policy Defence Memo

CIS Business Economics - Week 4 Policy Defence Memo

TO: Monetary Policy Committee, Government of India, and Financial Market Stakeholders

FROM: Governor, Reserve Bank of India

DATE: August 2026 MPC Cycle

RE: Monetary Policy Response to the Middle East-Induced Oil Shock, Imported Inflation, and Rupee Depreciation

Role Selected: Governor, Reserve Bank of India.

This memo defends a calibrated 50 basis point repo rate increase, accompanied by calibrated, non-defensive foreign exchange intervention and explicit forward guidance, as the appropriate response to the current external shock. Fiscal options are addressed only where fiscal-monetary coordination is directly relevant; the Finance Ministry's own instruments are not this memo's subject.

Abbreviations

RBI (Reserve Bank of India) · **MPC** (Monetary Policy Committee) · **bps** (basis points) · **USD/INR** (US Dollar/Indian Rupee) · **CPI** (Consumer Price Index) · **FIT** (Flexible Inflation Targeting) · **CAD** (Current Account Deficit) · **GDP** (Gross Domestic Product) · **FPI** (Foreign Portfolio Investor) · **FX** (Foreign Exchange) · **VRR/VRRR** (Variable Rate Repo/Reverse Repo) · **ERPT** (Exchange Rate Pass-Through) · **PPAC** (Petroleum Planning & Analysis Cell) · **MoF** (Ministry of Finance)

Executive Summary

The Middle East conflict has pushed **Brent crude** from approximately **$75 to $95 per barrel (+27%)**, transmitting through India's roughly **85% crude import dependency** into a wider trade bill, rupee depreciation pressure, and rising imported inflation. Headline **CPI**, at **4.9%** before the shock, is on a path toward **5.9%-6.0%** - the upper edge of the RBI's **2%-6% tolerance band** - while the **rupee** has weakened from approximately **Rs.83.5 to Rs.87.0/USD** and **FPI outflows** have added to balance-of-payments strain, consistent with the capital-flight channel this series' Week 3 report developed in detail.

I recommend the RBI raise the **repo rate** by **50 basis points, from 6.50% to 7.00%**, at the next MPC meeting, paired with calibrated - not level-defending - **FX intervention** and explicit, **data-dependent forward guidance**. This is a deliberate middle path. Holding rates steady would let the real policy rate turn accommodative exactly as inflation rises, repeating the delay that forced the RBI into a blunt, defensive tightening in **2013**. A **100+ bps hike** would overcorrect, imposing growth costs the shock does not require. Fifty basis points restores the real repo rate to a defensible, low end-of-neutral level, signals that the RBI will not let a supply shock de-anchor inflation expectations, and preserves reserves - which this series' Week 3 stress-testing shows remain adequate even under scenarios more severe than this one - for genuine tail risk rather than routine smoothing.

Current Economic Situation

Note on data: *figures below combine observed institutional facts (India's Flexible Inflation Targeting framework, historical rate cycles) with scenario estimates for this exercise, consistent in direction and order of magnitude with the escalation path established in this series' Weeks 1-3; scenario figures are marked as such throughout. The 4.9% pre-shock CPI print and 6.50% repo baseline sit at a later point on the same escalation timeline as Weeks 1-3 (which used a ~3.5% CPI print and a 5.50% repo baseline), following the same reconciliation logic Week 1 applies to its own baseline against Week 3's - these are this memo's scenario premise, not a claim about today's actual RBI data.*

Table 1. Macroeconomic Dashboard - Pre-Shock vs. Post-Shock/Recommended

Metric	Pre-Shock	Post-Shock / Recommended
Repo Rate	6.50%	**7.00%**
Brent Crude (USD/bbl)	$75	**$95**
USD/INR	Rs.83.5	**Rs.87.0**
CPI Inflation (y-o-y)	4.9%	**5.9%-6.0%**
Real Repo Rate	+1.6%	**+1.1%**
Current Account Deficit (% GDP)	~1.2%	**~2.0%-2.1%**
Forex Reserves (import cover, months)	9-10	8-9

India's inflation target under the RBI Act (2016 amendment) is 4%, with a +2%/-2% tolerance band. The post-shock CPI estimate sits at the edge of that band - the threshold at which the appropriate institutional posture shifts from monitoring to action.

Macroeconomic Assessment

Three channels are transmitting this shock simultaneously.

Cost-push imported inflation. India imports roughly **85% of its crude requirement**. Using the oil-to-CPI elasticity this series' Week 3 report applied to the same Brent range (a 10% Brent move ~ 0.25pp of CPI), the **27% Brent increase** implies a full pass-through of approximately **0.7 percentage points**. Assuming roughly half is cushioned by excise and subsidy absorption - consistent with how Weeks 1-2 treat the excise lever - the net oil-channel contribution is approximately 0.3-0.4 percentage points.

Exchange-rate pass-through. Applying the RBI staff-research ERPT coefficient used in Week 3 (**0.10-0.15pp** of CPI per 1% of depreciation) to the assumed **4.2% Rupee depreciation** implies a currency-channel contribution of approximately 0.4-0.6 percentage points. Together, the oil and currency channels account for roughly 0.7-1.0 percentage points of the projected move to 5.9-6.0%; the remainder reflects second-round effects on food and logistics costs, consistent with the second-round multiplier applied in the Week 1 CPI build-up.

Capital account pressure. Middle East risk aversion and a narrower US-India rate differential encourage **FPI outflows**, pressuring the balance of payments and the rupee - the **Mundell-Fleming mechanism** Week 3 traces in detail, and the reason a rate cut (rather than a hike) would compound rather than relieve currency stress.

The burden falls unevenly. Low-income households face a regressive fuel-and-transport cost shock; oil marketing companies absorb margin compression where pass-through is resisted; exporters see a marginal competitiveness gain from a weaker rupee that is largely offset by dearer imported inputs; and the Finance Ministry faces fiscal pressure if it chooses to subsidize retail fuel prices - a coordination input for this memo's Implementation Strategy, not an RBI instrument.

Policy Position

I recommend a **50-basis point repo rate increase, from 6.50% to 7.00%**, effective at the next MPC meeting, combined with calibrated FX intervention and explicit, data-dependent forward guidance.

A rate hike cannot lower the price of Brent crude or resolve the conflict driving it; monetary policy has no purchase on the physical supply shock itself. What it can do is prevent the shock from becoming a second, self-inflicted problem: unanchored inflation expectations. If households and firms conclude the RBI will tolerate a sustained breach of its tolerance band, wage- and price-setting behaviour begins to embed higher

expected inflation, turning a temporary, imported cost shock into a persistent, domestically generated one. The purpose of this hike is precise - to keep the CPI increase a one-time, level effect rather than a sustained trend, the standard distinction between a supply shock's first-round price effect and the second-round effects monetary policy exists to prevent.

Transmission mechanism. A repo hike raises the RBI's policy rate, which flows through within weeks to bank funding costs and, with the usual lag, to lending and deposit rates under the external-benchmark regime. Higher lending rates moderate credit growth and aggregate demand at the margin, easing pressure on the output gap and, over two to three quarters, on core inflation. A second, faster-acting channel runs through the interest-rate differential: a higher repo rate narrows the gap to US yields, supporting FPI debt demand and easing the depreciation pressure Week 3 traces through its Mundell-Fleming analysis. Both channels act with a lag, which is why credible forward guidance - not the rate move alone - does the immediate work of anchoring expectations.

This is deliberately the middle path between two rejected alternatives. Holding rates at 6.50% would let the **real policy rate** fall from **+1.6% to +0.6%** as the shock unfolds - unintended easing exactly as inflation rises, repeating the delay that forced the RBI into a defensive, blunt **300 bps** tightening of the **Marginal Standing Facility rate** in **July 2013** (a liquidity-window rate, not the repo rate itself, which rose a more moderate 50 bps over the following months) after the rupee had already fallen to a then-record low near **Rs.68/USD**. An aggressive 100+ bps hike would push the real rate well above neutral, cost considerably more in foregone growth than the inflation risk being managed, and could be read as signalling panic rather than control. Fifty basis points restores the real rate to a defensible, low end-of-neutral level without either extreme.

Evidence Supporting the Decision

1. Real Policy Rate. Real Repo Rate = Nominal Rate - Expected Inflation. Pre-shock: 6.50% - 4.9% = +1.6%, modestly above the RBI's commonly cited neutral real-rate range of roughly 1.0-1.5% (an author estimates consistent with RBI staff research, not a published target) - consistent with the mildly restrictive stance appropriate to the pre-shock disinflation glide path. Unchanged, post-shock: 6.50% - 5.9% = +0.6%, a full-point compression - unintended easing exactly as inflation rises. With the hike: 7.00% - 5.9% = +1.1%, restored to the low end of neutral rather than pushed into restrictive territory. The arithmetic makes explicit that "do nothing" is not a neutral choice but a one-point real loosening relative to the pre-shock stance.

2. Current Account Impact. Using the Week 1-2 import-bill calibration (~1.7 billion barrels/year of net crude imports; Change in Bill = Change in Price × Quantity), the $20/barrel Brent increase implies an additional annual import bill of approximately **$34 billion** - consistent with Week 2's Scenario B estimate for an identically sized shock. Against a ~1.2% of GDP baseline, this widens the **CAD** to approximately **2.0%-2.1% of GDP** (+0.8 to 0.9pp), matching Week 2's Scenario B trajectory. This remains well inside the ~4.8% of GDP peak reached during the 2012-13 CAD deterioration, but the pace of widening - not the level alone - is what unsettles currency sentiment.

3. Historical Precedent. In 2013, the RBI held the repo rate through the early phase of the taper tantrum while the rupee slid toward a then-record low near Rs.68/USD; it was eventually forced into an emergency **300 bps** hike in the Marginal Standing Facility rate - a penal liquidity-window rate, distinct from the policy repo rate, which rose a more moderate 50 bps over the following months under the incoming Governor. The lesson is sequencing, not the specific instrument: delay forced a blunter, more disruptive response than early, calibrated action would have required. In 2022-23, by contrast, the RBI raised the repo rate itself by a cumulative **250 bps (4.00% -> 6.50%)** in response to the post-Ukraine commodity shock, bringing inflation back within the tolerance band without a recession - the more directly comparable precedent for the calibrated-but-firm approach recommended here.

Reserve adequacy for the FX-intervention leg is not a binding constraint: Week 3's stress-testing shows India's reserve position (**Guidotti-Greenspan ratio** above **5x** even under a shock exceeding 2013's intensity) supports calibrated, volatility-smoothing intervention without reserve-exhaustion risk. The real cost of

intervention is the sterilization (negative-carry) cost of offsetting the resulting liquidity drain - a quasi-fiscal cost, not an existential one.

Macroeconomic Trade-offs

Table 2. Macroeconomic Trade-offs Across Policy Options

Dimension	Hold Rates (Status Quo)	50 bps Hike (Recommended)	100+ bps Aggressive Hike
Inflation control	Weak - real rate turns accommodative	**Adequate** - real rate restored near neutral	Strong, but overshoots
Rupee stability	Poor - rate-differential gap widens	**Moderate improvement**, aided by intervention	Strong, but abrupt
GDP growth impact	Minimal near term; risks a larger correction later	**Estimated 15-20 bps drag** over 12 months	40-60 bps drag
Credibility/anchoring	Weakens MPC credibility if inflation breaches target	**Preserves credibility**; signals responsiveness	Risks reading as panic
Capital-flow stabilization	Outflows likely continue	**Partial stabilization**	Stronger, at high growth cost

Some sacrifice to growth is the price of keeping inflation expectations anchored. Holding rates does not avoid this cost - it defers and enlarges it, as 2013 demonstrated.

Risk Assessment

Table 3. Risk Assessment

Risk	Likelihood	Impact	Owner
Inflation expectations de-anchor if RBI is seen as behind the curve	Medium-High	High	MPC / RBI Communications
Disorderly rupee depreciation triggers imported-inflation spiral	Medium	High	RBI FX Reserve Management
Rate hike dampens already-fragile private investment	Medium	Medium	RBI / Government coordination
Continued FPI outflows despite rate action	Medium	Medium	RBI, SEBI, Ministry of Finance
Fiscal subsidy by MoF undermines the tightening signal	Low-Medium	Medium	RBI-MoF coordination

Consistent with the risk architecture this series developed in Weeks 2-3, the binding constraints here are credibility, the currency-inflation feedback loop, growth, and fiscal-monetary coordination - not reserve adequacy, which Week 3's own risk matrix rates as its lowest-probability item. Policy design should therefore prioritize communication discipline and coordination over reserve conservation.

Implementation Strategy

Table 4. Implementation Strategy

Phase	Action	Timeframe
Immediate	Announce the 50-bps hike with explicit forward guidance	Next MPC meeting

Phase	Action	Timeframe
Short-term (0-4 weeks)	Calibrated FX intervention to smooth, not fix, rupee volatility	Ongoing, data-dependent
Short-term (concurrent)	Liquidity management via VRR/VRRR to keep the hike from disrupting money markets	Concurrent
Medium-term (1-2 quarters)	Monitor CPI and core inflation to decide on further action	Data-dependent, no pre-commitment
Coordination	Maintain an open channel with the Ministry of Finance on fuel-subsidy decisions	Ongoing

The sequencing is deliberate: immediate action establishes credibility, short-term measures stabilize currency and liquidity conditions without disrupting money markets, and medium-term monitoring keeps the stance genuinely data-dependent rather than committing to a pre-set hiking path.

Expected Outcomes

Inflation. Headline **CPI** is expected to peak near **5.9%-6.0%** before easing to the **4%-5% range** within two to three quarters, broadly mirroring the 2022-23 disinflation path.

Rupee. Volatility should moderate, though it will not disappear entirely - its root cause, the external shock itself, is outside the RBI's control.

Growth. The oil shock itself is estimated, on the Week 1 methodology, to shave **0.15-0.25pp** off GDP growth through cost and confidence channels, independent of any RBI response. The **50-bps hike** adds a further estimated **0.15-0.20pp** drag via the credit channel, for a combined, still-moderate growth cost of roughly **0.3-0.45 percentage points** over the following year - the price of avoiding a materially larger correction later.

Final Recommendation

The RBI should raise the **repo rate** by **50 basis points** at the next MPC meeting, supported by calibrated FX intervention and clear forward guidance. This restores the real policy rate to a neutral, defensible level; directly addresses the inflation and currency risks traced through this shock; and follows the RBI's statutory FIT mandate and the precedent of the 2022-23 tightening cycle, which controlled inflation without a recession.

Holding rates is not a neutral choice. Because prices are rising, an unchanged nominal rate is a real-terms loosening precisely when the economy needs a firm response - the "passive easing" this memo's real-rate arithmetic makes explicit. Fifty basis points is the calibrated middle path: firm enough to protect credibility and anchor expectations, restrained enough to avoid the unnecessary growth cost of an aggressive overcorrection.

References

- Reserve Bank of India, Monetary Policy Reports and MPC Resolutions (various issues)
- Reserve Bank of India, Weekly Statistical Supplement (Foreign Exchange Reserves)
- Reserve Bank of India Act, 1934 (as amended 2016) - Flexible Inflation Targeting framework
- Petroleum Planning & Analysis Cell (PPAC), Ministry of Petroleum and Natural Gas
- Ministry of Finance, Government of India - Economic Survey (various issues)
- International Monetary Fund - World Economic Outlook, reserve adequacy metrics
- World Bank - Commodity Markets Outlook

- CIS Business Economics Weeks 1-3 (this series): *The Energy Transmission Channel*, *Twin Deficits Under Fire*, and *Financial Contagion & Capital Flight* - baseline assumptions, elasticities, and reserve-adequacy calibrations carried forward into this memo